

ORDINANCE NO. 20__ - ____

**AN ORDINANCE OF THE TOWN OF PAONIA, COLORADO, AMENDING
THE PAONIA MUNICIPAL CODE TO ADD A NEW ARTICLE CONCERNING
THE REGISTRATION AND REGULATION OF SHORT-TERM RENTALS**

WHEREAS, the Town of Paonia Board of Trustees recognizes that short-term rentals contribute to the local economy by supporting tourism, agritourism, local businesses, and community events; and

WHEREAS, on April 1, 2025, approximately 70% of Paonia voters approved the repeal of Ordinance 2024-05, signaling a clear community preference for a simpler, more proportional approach to short-term rental regulation; and

WHEREAS, the Board of Trustees has determined that a registration-based framework, adapted for Paonia's scale and character, best serves the public interest; and

WHEREAS, the Board finds that the primary purposes of this Ordinance are safety, nuisance prevention, accountability, tax compliance, and administrative feasibility, rather than housing engineering or density management; and

WHEREAS, short-term rentals currently represent a small percentage of Paonia's approximately 943 housing units, well below the saturation levels observed in resort communities; and

WHEREAS, the Board of Trustees is authorized to adopt this Ordinance pursuant to the police powers granted to statutory municipalities under C.R.S. § 31-15-103, the authority to regulate for the protection of public health, safety, and welfare under C.R.S. §§ 31-15-401 and 31-15-601, the land use and zoning authority granted under C.R.S. § 31-23-301 et seq., and all other applicable provisions of Colorado law;

**NOW, THEREFORE, BE IT ORDAINED BY THE BOARD OF TRUSTEES OF
THE TOWN OF PAONIA, COLORADO:**

SECTION 1. DEFINITIONS

For the purposes of this Article, the following terms shall have the meanings set forth below:

A. "Short-Term Rental" (STR) means the rental of a dwelling unit, or any portion thereof, for a period of fewer than thirty (30) consecutive days, in exchange for compensation. This term includes the rental of an entire dwelling unit or individual rooms within a dwelling unit. This term does not include hotels, motels, and lodging facilities (including room houses and bed-and-breakfasts) licensed under other provisions of the Paonia Municipal Code, nor does it include the renting of rooms on a monthly or longer basis as permitted under §16-11-20 (Home Occupations) and §16-11-30 (Renting of Rooms).

B. "Dwelling Unit" means a single-family home, an accessory dwelling unit, a detached accessory building with sleeping accommodations, or any other residential structure lawfully permitted for habitation under the Paonia Municipal Code.

C. "Operator" means the property owner, or a person or entity authorized by the property owner, who manages and operates a short-term rental.

D. "Local Contact Person" means a person located within thirty (30) miles of the short-term rental property who is available twenty-four (24) hours per day to respond to complaints, emergencies, or inquiries related to the operation of the short-term rental.

E. "Registration" means the approval granted by the Town of Paonia authorizing the operation of a short-term rental in accordance with the requirements of this Article.

SECTION 2. REGISTRATION REQUIRED

A. No person shall operate, advertise, or offer a short-term rental within the Town of Paonia without first obtaining and maintaining a valid Short-Term Rental Registration from the Town.

B. A Registration is valid for a period of three (3) years from the date of issuance and must be renewed for each subsequent three-year period.

C. A Registration is non-transferable. If ownership of the property changes, the new owner must apply for a new Registration prior to operating a short-term rental.

D. Existing short-term rental operators shall have until January 1, 2027 to submit a Registration application.

SECTION 3. APPLICATION AND FEES

A. Applications for a Short-Term Rental Registration shall be submitted to the Town Administrator or designee on forms prescribed by the Town. The application shall include:

1. Property address.
2. Applicant name and relation to the property (owner, authorized manager, etc.).
3. Mailing address, telephone number(s), and email address of the applicant.
4. Name, address, and 24-hour telephone number of the Local Contact Person (if the operator does not reside on the property).
5. Name and contact information of the property owner, if different from the applicant.
6. Number of bedrooms to be rented and advertised maximum occupancy.
7. Whether the rental will be located in a single-family home, accessory dwelling unit, or detached accessory building.
8. Whether the rental will be managed on-site by owner, on-site by manager, off-site by owner, or off-site by manager.
9. Anticipated availability (year-round, seasonal, or occasional).
10. Proof of property ownership or written authorization from the property owner.
11. Self-certification affidavit affirming compliance with the safety and operating standards set forth in Section 5.

B. The Registration fee shall be set by resolution of the Board of Trustees and shall be limited to the reasonable costs of administering this Article. The initial fee shall not exceed \$75.00 for a three-year registration period for operators renting individual rooms and \$100 for operators renting entire dwelling units.

C. The Town Administrator shall approve or deny an application within thirty (30) days of receipt of a complete application. If denied, the applicant shall receive written notice stating the reasons for denial.

SECTION 4. TAX COMPLIANCE

A. All short-term rental operators shall collect and remit all applicable taxes required by the Paonia Municipal Code or Colorado law.

B. Operators using third-party booking platforms that collect and remit taxes on behalf of the operator shall maintain documentation of such arrangements and provide it to the Town upon request.

SECTION 5. SAFETY AND OPERATING STANDARDS

By signature of the Registration application, the owner or operator affirms compliance with the following standards, which shall be maintained at all times the short-term rental is in operation:

A. Life Safety

1. All sleeping rooms have operable emergency escape windows that meet the applicable building code.
2. Each bedroom to be rented has a functioning smoke detector, with a smoke detector also in an adjacent hallway.
3. Each bedroom is located on a floor equipped with a functioning carbon monoxide alarm if the dwelling unit has a carbon monoxide source (gas appliance, fireplace, attached garage, or similar).
4. An operable fire extinguisher has been placed in proximity to the kitchen.
5. Ingress and egress paths of travel to exit doors from each bedroom are large enough for two average-sized adults to pass and are kept clear and unobstructed.

B. Occupancy and Wastewater

1. Maximum occupancy shall not exceed two (2) persons per bedroom plus two (2) additional persons, unless a different limit is established by the applicable building code or wastewater system capacity.
2. Properties served by an onsite wastewater treatment system (OWTS) shall have a system adequate for the proposed occupancy. If there is any question as to the adequacy of the system, the Town may require an administrative review of the OWTS prior to approval.
3. Properties served by the Town's municipal sewer system shall comply with all applicable sewer use regulations.

C. Property and Neighborhood Standards

1. Guest vehicles should be parked in a safe and lawful manner consistent with existing Town parking regulations. When available, off-street parking on the property may be used. However, on-street parking in front of or near the property shall be permitted where it is otherwise allowed under Town parking regulations.
2. Trash and recycling facilities shall be sufficient to address guest impacts and shall be properly maintained.
3. The house number shall be clearly visible from the street.
4. If a sign is used to advertise the short-term rental, the sign shall not exceed ten (10) square feet and shall comply with any applicable sign regulations in the Paonia Municipal Code.
5. Outdoor amplified sound shall cease by 10:00 p.m. Sunday through Thursday and by 11:00 p.m. Friday and Saturday, consistent with the Town's existing noise and nuisance provisions.

D. Guest Information and Contact

1. Guests shall be provided with the 24-hour contact telephone number of the Local Contact Person (or owner/operator, if residing on-site).
2. Emergency contact information, including the Paonia Police Department non-emergency number and 911, shall be posted in a visible location inside the rental unit.
3. The approved Short-Term Rental Registration shall be posted in a location visible to visiting guests.

E. Insurance

1. The property shall have an insurance policy adequate for short-term rental operations. The operator shall maintain such coverage for the duration of the Registration. Operators using 3rd party booking platforms like [Airbnb](#) and [VRBO](#) have up to \$1 million in liability coverage.

SECTION 6. LISTING AND ADVERTISING REQUIREMENTS

A. All advertisements and online listings for a short-term rental within the Town of Paonia shall include the Town-issued Registration number.

B. No person shall advertise or list a short-term rental that does not hold a current, valid Registration.

SECTION 7. NEIGHBOR NOTIFICATION

A. Upon approval of a Registration, the Town shall provide written notice to all property owners within 300 feet of the short-term rental. The notification shall include:

1. The address of the short-term rental.
2. The name of the operator or Local Contact Person.
3. The 24-hour contact telephone number.

B. Upon request, the operator shall provide neighbors with the name and 24-hour contact telephone number of the Local Contact Person.

SECTION 8. ENFORCEMENT AND COMPLAINTS

A. Complaint-Based Enforcement

Enforcement of this Article shall be primarily complaint-based. The Town shall maintain a record of all written complaints received concerning a registered short-term rental.

B. Complaint Process

1. Any person may file a written complaint with the Town Administrator regarding a violation of this Article.
2. The Town Administrator or designee shall notify the operator and the Local Contact Person of the complaint within five (5) business days.
3. The operator shall have fifteen (15) calendar days from notification to respond in writing and, if applicable, to remedy the violation.

C. Escalating Penalties

1. **First documented violation:** Written warning.
2. **Second documented violation within a twelve-month period:** Fine of \$150.00.

3. **Third documented violation within a twelve-month period:** Fine of \$300.00 and suspension of Registration for up to ninety (90) days.
4. **Fourth or subsequent documented violation within a twelve-month period, or failure to remedy a prior violation:** Revocation of Registration.

D. Revocation

1. If a Registration is revoked, a new Registration shall not be issued for the same property for a period of at least one (1) year from the date of revocation.
2. The operator shall cease all short-term rental activity immediately upon revocation.

E. Operating Without Registration

Any person who operates a short-term rental without a valid Registration shall be subject to a fine of \$300.00 per occurrence. Each day of operation without a Registration shall constitute a separate occurrence.

SECTION 9. APPEALS

- A.** Any applicant or operator aggrieved by a determination, interpretation, or decision of the Town Administrator under this Article may appeal such action to the Board of Trustees.
 - B.** The appeal shall be in writing, shall state the basis for the appeal, and shall be filed with the Town Clerk within thirty (30) days of the action being appealed.
 - C.** Appeals shall be limited to determining whether the Town Administrator has misread, misinterpreted, or misapplied a provision of this Article — not for relief from a standard or requirement itself.
 - D.** The Board of Trustees shall hear the appeal at a regular or special meeting no later than forty-five (45) days after the written appeal is received.
 - E.** The decision of the Board of Trustees shall be final.
-

SECTION 10. TWELVE-MONTH REVIEW AND SATURATION THRESHOLD

A. Annual Review

No later than twelve (12) months after the effective date of this Ordinance, and annually thereafter, the Town Administrator shall present to the Board of Trustees a written report evaluating the following:

1. The total number of registered short-term rentals and their share of total housing units, as determined by the most recent U.S. Census Bureau data or American Community Survey estimate available to the Town.
2. The total number and nature of complaints received.
3. The administrative burden and cost of administering this Article.
4. Any documented changes in housing availability or rental market conditions that are directly attributable to short-term rental activity.
5. Any recommendations for amendments to this Article, supported by documented local data.

B. Saturation Review Threshold

1. If, at the time of any annual review, the total number of registered short-term rentals equals or exceeds **eight percent (8%)** of total housing units within the Town, the Town Administrator shall note this finding in the report and the Board of Trustees shall, within ninety (90) days of receiving the report, initiate a public process to evaluate whether additional measures are warranted. Such measures may include, but are not limited to, a temporary pause on new Registrations, a numerical cap, or other proportional responses.
2. The saturation review threshold established in this subsection is a trigger for deliberation, not a self-executing cap. No Registration that has been issued prior to the threshold being reached shall be suspended, revoked, or rendered invalid solely by reason of the threshold being met. Existing Registrations shall remain valid through the remainder of their three-year term and shall be eligible for renewal unless revoked for cause under Section 8 of this Article.
3. Any Registration application that is complete and pending at the time the threshold finding is reported shall be processed and decided under the standards in effect at the time of submission.
4. If the Board of Trustees determines, after public hearing, that no additional measures are warranted despite the threshold being reached, the Board shall state its reasons in writing and the Town shall continue to accept and process new Registration applications.

5. The Board of Trustees may, by resolution, adjust the saturation review threshold established in this subsection if supported by documented local data and adopted following a public hearing.

C. Public Hearing

The Board of Trustees shall hold a public hearing to receive community input on each annual report prepared under this Section.

D. Standard for Amendment

Amendments to this Article shall be made only if justified by documented local data and consistent with the proportional, safety-focused intent of this Ordinance.

SECTION 11. SCOPE AND LIMITATIONS

A. This Article does not establish any cap or numerical limit on the number of short-term rental Registrations.

B. This Article does not impose minimum spacing or density buffer requirements between short-term rentals.

C. This Article does not require a special use review or conditional use permit for the operation of a short-term rental, provided the operator complies with all requirements herein.

D. Nothing in this Article shall be construed to prohibit the renting of rooms on a monthly or longer basis as permitted under §16-11-20 and §16-11-30 of the Paonia Municipal Code.

SECTION 12. SEVERABILITY

If any section, subsection, sentence, clause, phrase, or portion of this Ordinance is for any reason held invalid or unconstitutional by any court of competent jurisdiction, such portion shall be deemed a separate, distinct, and independent provision, and such holding shall not affect the validity of the remaining portions of this Ordinance.

SECTION 13. EFFECTIVE DATE

This Ordinance shall take effect thirty (30) days after passage and publication as required by law.

SECTION 14. REPEALER

All ordinances or parts of ordinances in conflict herewith are hereby repealed to the extent of such conflict.

INTRODUCED, READ, AND REFERRED before the Board of Trustees for the Town of Paonia, Colorado, on the _____ day of _____, **20**.

HEARD AND FINALLY ADOPTED by the Board of Trustees for the Town of Paonia, Colorado, on the _____ day of _____, **20**.

TOWN OF PAONIA, COLORADO

By: _____ Mayor

ATTEST:

Town Clerk

Published: [Date] in [Publication] In effect: [Date]